Microeconomics
Course Code: Hum 2101

Lecture 3: Basic Elements of Demand and Supply

What is Demand?

If you demand something, then you

- Want it,
- Can afford it
- Plan to buy it.

Quantity Demanded

Quantity demanded is the number of units of a good that individuals are willing and able to buy at a particular price during a time period.

For example, suppose that you buy one cup of coffee a day. The quantity of coffee that you demand can be expressed as 1 cup per day, 7 cups per week, or 365 cups per year.

The law of demand

The law of demand states,

Other things remain the same, the higher the price of a good, the smaller the quantity demanded; the lower the price, the greater the quantity demanded.

Law of Demand

When the price goes up...

...the quantity demanded goes down.

NOTE: *The relationship between price and quantity is inverse.*

When the price goes down...

...the quantity demanded goes up.

Demand Curve and Demand Schedule

This relationship between price and quantity bought is called the demand schedule, or the demand curve.

Let’s look at a simple example.

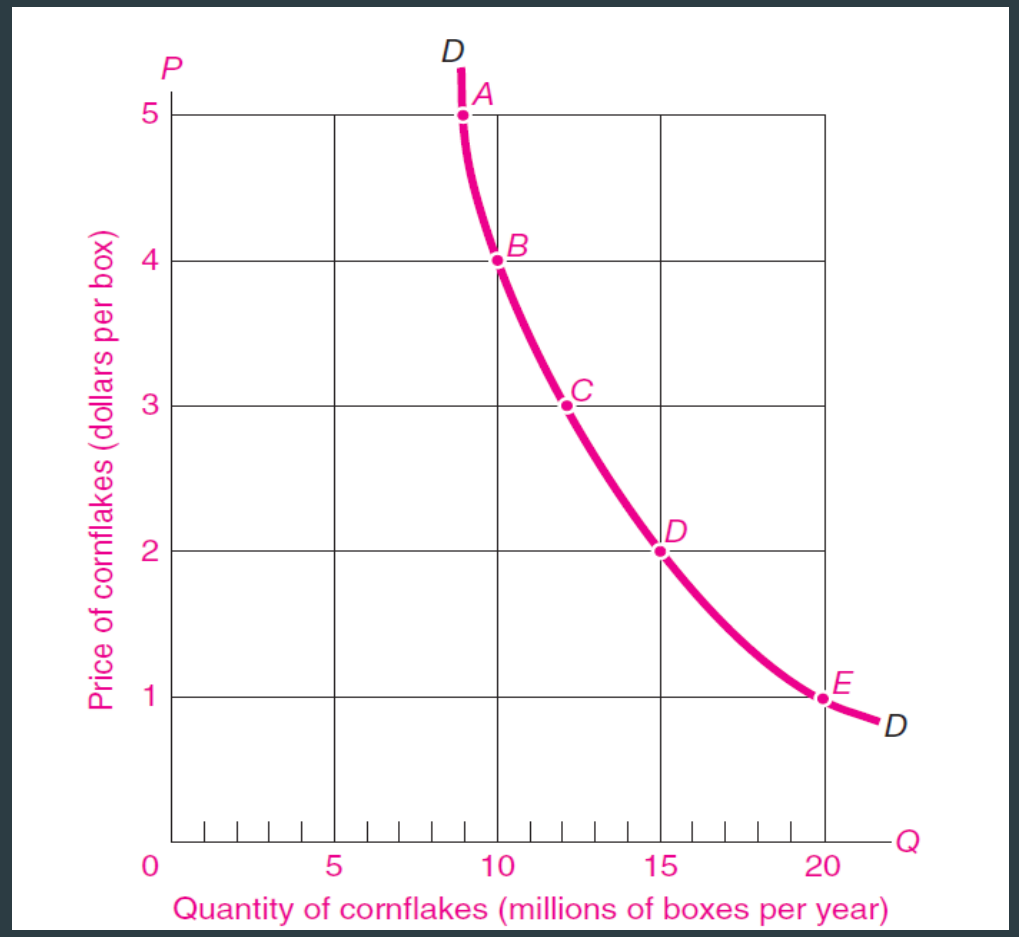
Demand Schedule

This table represents a hypothetical demand schedule for cornflakes-

Demand Schedule for Cornflakes

	(1) Price ($ per box) *P*	(2) Quantity demanded (millions of boxes per year) *Q*
A	5	9
B	4	10
C	3	12
D	2	15
E	1	20

Demand Curve



In the demand curve for cornflakes,

price (P) is measured on the vertical axis while quantity demanded (Q) is measured on the horizontal axis.

The negative slope of the demand curve illustrates the law of downward-sloping demand.

Law of downward-sloping demand

When the price of a commodity is raised (and other things are held constant), buyers tend to buy less of the commodity. Similarly, when the price is lowered, other things being constant, the quantity demanded increases.

Quantity demanded tends to fall as price rises for two reasons:

1. Substitution Effect
2. Income Effect

Law of downward-sloping demand

Substitution effect: It occurs because a good becomes relatively more expensive when its price rises.

For example, as the price of beef rises, I eat more chicken.

Income effect: This comes into play because when a price goes up, I find myself somewhat poorer than I was before.

If gasoline prices double, I have in effect less real income, so I will naturally curb my consumption of gasoline and other goods.

What is Supply?

If a firm supplies a good or service, the firm

- Has the resources and technology to produce it,
- Can profit from producing it
- Plans to produce it and sell it.

Quantity Supplied

The willingness and ability of sellers to produce and offer to sell different quantities of a good at different prices during a specific time period.

For example: When the price of an orange is 65 cents the quantity supplied is 300 oranges a week.

The Law of Supply

The law of supply states:

Other things remain the same, the higher the price of a good, the greater the quantity supplied; and the lower the price of a good, the smaller the quantity supplied.

Price
As Price Increases
Supply
Quantity supplied increases
Price
As price falls
Supply
Quantity supplied falls

Supply Curve and Supply Schedule

The supply schedule (or supply curve) for a commodity shows the ***relationship between its market price and the amount of that commodity that producers are willing to produce and sell, other things held constant***.

Let's look at a simple example.

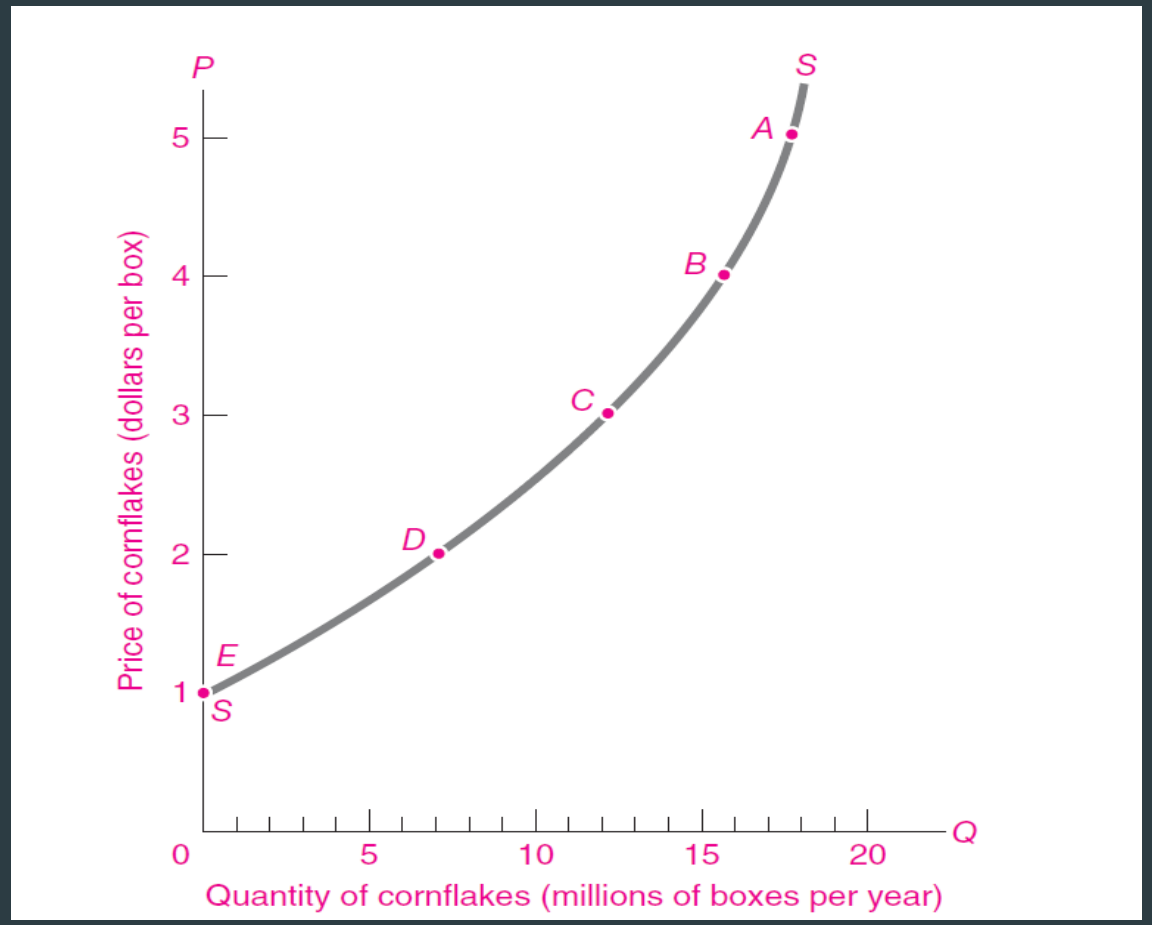
Supply Schedule

The table shows, for each price, the quantity of cornflakes that cereal makers want to produce and sell.

Supply Schedule for Cornflakes

	(1) Price ($ per box) *P*	(2) Quantity supplied (millions of boxes per year) *Q*
A	5	18
B	4	16
C	3	12
D	2	7
E	1	0

Supply Curve



The supply curve plots the price and quantity pairs from the supply schedule.

A smooth curve is passed through these points to give the upward-sloping supply curve, SS.